# 2018

## MBA

## 4th Semester Examination

# INTERNATIONAL FINANCIAL MANAGEMENT

## (Specialisation : Financial Management)

**PAPER—F-401**

**Subject Code—09**

*Full Marks* : 100

*Time* : 3 Hours

*The figures in the margin indicate full marks.*

*Candidates are required to give their answers in their own words as far as practicable.*

*Illustrate the answers wherever necessary.*

**1.** Answer any *four* questions : 4×5

(a) Explain how does inflation influence exchange rate.

(b) What is 'J-curve Effect'? Illucidate.

(c) Given the following exchange rates :

£|₹ : 85.3423

(Turn Over)

¥|₹ : 0.6244

£|$ : 1.3844

Calculate $|¥.

(d) A firm invested in USA of $5 million at exchange rate 62.5 ₹ per doller. The investment subsequently increased to $ 5.5 million but exchange rate declines to 61.3 ₹ per doller. Calculate financial exposure.

(e) What do you mean by Purchasing Power Parity ?

(f) In a day, New York and Chicago Foreign Exchange rates are as follows :

NY : $|₹ : 62.5041|62.5073

Chicago : $|₹ : 62.5018|62.5027

Is there any possibility of arbitrage ? Justify.

(g) What is Big-Mac Index ?

(h) An Indian merchant purchases 182 day forward contract of 1 million doller at the strike rate $|₹ 64.8836. If spot rate is ₹ 64.8942, what will be the merchant's profit/ loss on expiry of the contract assuming no brokerage charge is paid ?

(i) Give an outline of differential exchange rate systems prevail accross the globe.

(j) Explain with hypothetical example the pay-off for a buyer of currency futures.

(k) If risk premium is 8%, risk free interest rate is 7%, estimated $\beta$ is 0.92, calculate cost of equity.

(l) A bank sells 3 month call option at a strike price $|₹ 61.3118 with premium charge of rupee one per doller. What decesion the firm will take if spot rate is ₹ 62.4437 ?

**2.** Answer any *two* questions : 2×10

(a) How do you link globalization to financial market ? Elaborate.

(b) An Indian firm decides to invest 25 million doller in an US project. Expected net cash flows are given below :

| | | | | | |
|---|---|---|---|---|---|
| Year : | 1 | 2 | 3 | 4 | 5 |
| Cash Flow (Million $) : | 4 | 10 | 10 | 12 | 12 |

Calculate the feasibility of the project using NPV method in Rupees if current exchange rate is $|₹ 60.5, expected rate of return 20% and inflation rate in India and USA is 5% and 2% respectively.

(c) Given spot exchange rate : $|₹ 65.48 and 6 month forward rate is ₹ 64.33. If annualised interest rate in India is 6% and USA is 4%, calculate arbitrageur's profit/ loss, if any.

(d) Draw a BOP accounting framework adapted in India.

(e) Explain with example how the option market operates in foreign exchange trading.

(f) Differentiate currency forward and currency futures.

***[ Internal Assessment : 20 ]***